

Role Play



THE LONDON SCHOOL
OF ECONOMICS AND
POLITICAL SCIENCE ■

Deciding where to invest



You work for an international bank, and you are selecting a major new investment project. What criteria do you use to make your choice? You are not only choosing the project itself, but at the same time the country or region where the project will be realised.

Look at this set of criteria and decide which criteria are:

1. Very important
2. Quite important
3. Not very important

Then choose the **THREE** criteria which you think are most important.

Criteria – Vocabulary Check



- a) Political stability in the country or region concerned
- b) The climate
- c) The viability of the project
- d) The level of development of the country or region
- e) The availability of subsidies
- f) The return on investment
- g) The friendliness of the local people
- h) The duration of the loan
- h) The amount of investment you already have in the country or region
- h) Who your partners will be
- h) The life expectancy of the local people
- h) Exchange rate variations
- h) Religious beliefs and practices
- h) Guarantees

Deciding where to invest



You work for the Toshoya Bank, which has its head office in Tokyo and branches around the world. It is one of the ten biggest banks in the world. You are meeting today to discuss major investment projects. These are the projects in which are considering investing:

1. A dam for hydroelectricity
2. An irrigation and water supply project
3. A shipyard
4. A road bridge in Canada between Ontario and Québec

Deciding where to invest



You want to choose the most suitable project. You must decide:

- a) which is the most promising project for the bank
- b) for which project the bank should begin detailed negotiations



Deciding where to invest



Project	Country	Estimated Cost in \$US	Estimated Duration	Probable Partners	Estimated Yield
Dam for hydroelectricity	Malaysia	500 million	5 years	Malay International Bank	7%
Irrigation and water supply	Senegal	290 million	1 year	World Bank, European Union	9%
Shipyard	South Korea	360 million	2 years	None	6%
Road bridge	Canada	475 million	4 years	Canadian Government	5%

Roles



Read your role. Make sure you understand what you have to do and complete as much of the table on the worksheet as you can.

Role Play

Now do the role-play – the aim is to reach a consensus and to have a good discussion – don't rush to make a decision!